

EM Carbon-Aware Fund

Portfolio Allocation with a Carbon Objective | Emerging Markets | Scope 1 & 2 | 2014–2025

0.59

Best Sharpe Ratio

VW -50% CF portfolio

12.5%

Ann. Return

VW -50% CF portfolio

–51%

Avg. Carbon Footprint

vs. VW benchmark

702

Universe

Emerging-market firms

Investment Rationale

While being some of the world's fastest growing economies, emerging markets are also among the most vulnerable to climate-related risk. Our fund manages to address both dimensions by capturing EM growth while reducing carbon exposure, all without sacrificing returns.

We apply a **50% carbon footprint constraint** relative to the value-weighted benchmark, implemented using a tracking-error minimization framework. This keeps the portfolio close to market exposures while screening out the most carbon-intensive firms.

Why Invest Now

- **Regulatory tailwind:** Carbon pricing and ESG mandates are tightening globally, penalising high-emission assets.
- **Valuation upside:** In our EM sample, carbon screening has historically been associated with higher risk-adjusted returns — the market may not yet fully price transition risk.
- **Paris-aligned:** Portfolio construction is compatible with net-zero transition pathways.
- **Proven outperformance:** Over our 11-year back-test, the carbon-constrained VW strategy delivered 12.5% annualised return while the unconstrained benchmark model had a return of 8.2%.

Our Innovations

- **Dual-metric carbon screening:** Both WACI and Carbon Footprint are monitored simultaneously, capturing revenue-intensity *and* investor-attributed emissions.
- **Net-Zero glide path:** An optional –10%/yr CF reduction strategy ensures alignment with long-term decarbonisation targets.
- **Stale-price filter:** Proprietary data cleaning removes illiquid EM names that would artificially suppress measured volatility.
- **Rolling out-of-sample optimisation:** Annual portfolio reconstruction strictly avoids look-ahead bias — all results are true out-of-sample.

Strategy Performance Summary (2014–2025)

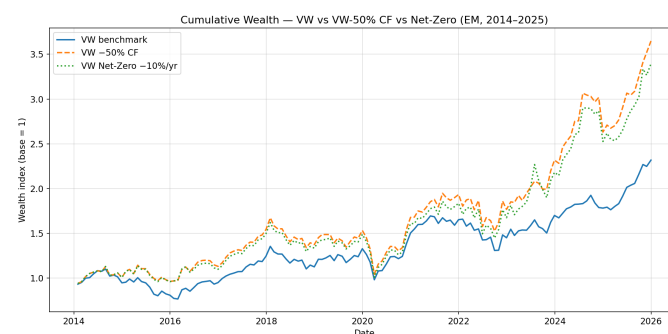
Metric	MV	MV –50%	VW	VW –50%	NZ
Ann. Return	7.7%	7.4%	8.2%	12.5%	12.0%
Volatility	10.4%	10.1%	15.5%	18.1%	20.18%
Sharpe Ratio	0.57	0.56	0.42	0.59	0.54
Min. Monthly	–6.7%	–6.9%	–16.8%	–21.4%	–21.6%
Avg. WACI	466	317	508	349	296
Avg. CF	341	171	605	295	227

Notes: WACI denotes tons of CO₂ equivalent per million USD revenue. CF denotes tons of CO₂ equivalent per USD 1 million invested. The highlighted column indicates the recommended strategy. NZ refers to a Net-Zero pathway with a targeted annual reduction of 10%.

Carbon Reduction Achieved vs. Benchmark

Portfolio	CF Reduction	Avg. WACI
VW -50% CF	–51%	349 tCO ₂ e/M\$rev
VW Net-Zero	–62%	296 tCO ₂ e/M\$rev
MV -50% CF	–50%	317 tCO ₂ e/M\$rev

Cumulative Wealth (Base = 1, Jan 2014 – Dec 2025)



Notes: Approximate values read from cumulative wealth trajectories. Initial investment normalised to 1.

Risk Notice: Carbon constraints reduce the investment universe, which may increase sector concentration and volatility. Past performance is not indicative of future results. Results are back-tested on EM firms (2014–2025) and exclude transaction costs and Scope 3 emissions.